

Chapter

Shares And Dividend

1. The sum invested to purchase 15 shares of a company of nominal value ₹75 available at a discount of 20% is:

- | | |
|-----------|----------|
| (a) ₹60 | (b) ₹90 |
| (c) ₹1350 | (d) ₹900 |

Main 2024

2. 1. Shares of company A, paying 12%, ₹100 shares are at ₹80.

2. Shares of company B, paying 12%, ₹100 shares at ₹100.

3. Shares of company C, paying 12%, ₹100 shares are at ₹120.

Shares of which company are at premium?

- | | |
|---------------|---------------------|
| (a) Company A | (b) Company B |
| (c) Company C | (d) Company A and C |

SQP 2024

Solution

1.

Ans:

Nominal value of one share = ₹75

Discount = 20%

Market price of one share

$$75 - 20\% \text{ of } 75 = 75 - 15 = ₹60$$

Number of shares = 15

Total sum invested

$$15 \times 60 = ₹900$$

Correct answer: (d) ₹900

2.

Ans: A share is said to be **at premium** when its **market price** is more than its **nominal (face) value**.

- **Company A:** Face value = ₹100, Market price = ₹80 → **At discount**
- **Company B:** Face value = ₹100, Market price = ₹100 → **At par**
- **Company C:** Face value = ₹100, Market price = ₹120 → **At premium**

Correct answer: (c) Company C